KRJP Commission Review_V3

Jan, 2026

Agenda

- KRCB
  - 3P SLS Increase Target (Mall/Non-mall)
  - 3P SLS Increase method (Mall/Non-mall)
  - FBS/3PF Increase Target and method
- JPCB
  - Simulations on 2% base commission increase + 2% Ads threshold

[KR 3P SLS vs CNCB - 3P SLS]: KR Mall's higher ads invest. offset lower commission while non-mall much lower due to lesser ads takerate vs Mall sellers, especially gaps exists in TH/VN/PH

Table: KR 3P SLS vs CNCB 3P SLS takerate (Post commission increase)

Category	Metrics	Metrics Breakdown	After (+5% Compulsory Ads and Commission Increase)																	
			CNCB Beauty (Post comms increase)						KRCB Beauty (Current)						KRCB vs. CNCB					
			SG	MY	TH	TW	VN	PH	SG	MY	TH	TW	VN	PH	SG	MY	TH	TW	VN	PH
Mall (Beauty)	Marketplace Charge	(+) Commission	14.1%	16.5%	19.2%	11.4%	13.8%	14.9%	10.6%	14.6%	14.6%	9.2%	8.4%	13.3%	↓ 3.5%	↓ 1.9%	↓ 4.5%	↓ 2.2%	↓ 5.4%	↓ 1.5%
		... Mandatory Comms	14.1%	16.4%	18.8%	9.1%	11.6%	13.7%	10.2%	14.0%	13.1%	7.0%	7.2%	9.9%						
		... Optional Comms	-0.0%	0.1%	0.4%	2.3%	2.3%	1.2%	0.4%	0.6%	1.5%	2.2%	1.2%	3.5%						
		(+) Handling Fee	3.2%	4.0%	3.3%	1.8%	4.5%	1.9%	3.3%	4.1%	3.4%	1.6%	3.4%	2.1%	↑ 0.0%	↑ 0.1%	↑ 0.1%	↓ 0.2%	↓ 1.1%	↑ 0.2%
		Total non-Ads takerate%	17.3%	20.5%	22.4%	13.2%	18.3%	16.8%	13.9%	18.7%	18.0%	10.8%	11.8%	15.4%	↓ 3.5%	↓ 1.8%	↓ 4.5%	↓ 2.4%	↓ 6.5%	↓ 1.4%
		(+) Ads	6.1%	7.1%	13.7%	8.4%	9.9%	9.8%	13.3%	12.2%	7.2%	11.8%	6.5%	7.8%	↑ 7.2%	↑ 5.1%	↓ 6.6%	↑ 3.4%	↓ 3.4%	↓ 2.0%
		(+) Marketing Package	0.5%	0.1%	0.4%	0.0%	0.8%	0.4%	1.0%	0.4%	0.2%	1.3%	3.9%	0.7%	↑ 0.5%	↑ 0.3%	↓ 0.3%	↑ 1.3%	↑ 3.1%	↑ 0.3%
		Total Takerate%	23.9%	27.8%	36.6%	21.6%	29.1%	26.9%	28.2%	31.3%	25.3%	23.9%	22.2%	23.9%	↑ 4.3%	↑ 3.5%	↓ 11.3%	↑ 2.3%	↓ 6.9%	↓ 3.0%
		(+) Seller Pass-thru Mkting	0.7%	1.2%	1.3%	0.2%	2.8%	1.0%	2.6%	2.6%	5.1%	0.6%	3.1%	1.3%	↑ 1.8%	↑ 1.4%	↑ 3.7%	↑ 0.4%	↑ 0.3%	↑ 0.3%
		Total MP Seller Cost%	24.6%	29.0%	37.9%	21.9%	31.9%	27.9%	30.8%	33.8%	30.4%	24.5%	25.3%	25.2%	↑ 6.1%	↑ 4.9%	↓ 7.5%	↑ 2.7%	↓ 6.6%	↓ 2.7%
	Logistics Charge	Total SLS logs Cost%	16.3%	7.2%	6.6%	5.1%	10.0%	12.6%	12.2%	9.1%	11.4%	5.5%	9.2%	8.6%	↓ 4.1%	↑ 1.9%	↑ 4.8%	↑ 0.5%	↓ 0.9%	↓ 3.9%
	Total Charge	Cost of Doing Business	41.0%	36.1%	44.5%	26.9%	41.9%	40.5%	43.0%	42.9%	41.8%	30.1%	34.5%	33.8%	↑ 2.0%	↑ 6.8%	↓ 2.8%	↑ 3.1%	↓ 7.4%	↓ 6.6%
Non-Mall (Beauty)	Marketplace Charge	(+) Commission	13.0%	14.5%	14.5%	8.6%	14.7%	15.4%	9.4%	12.9%	10.0%	6.9%	7.0%	13.2%	↓ 3.6%	↓ 1.6%	↓ 4.5%	↓ 1.7%	↓ 7.8%	↓ 2.3%
		... Mandatory Comms	13.0%	14.4%	14.5%	8.4%	12.9%	14.1%	9.4%	12.8%	9.9%	6.3%	6.2%	10.4%						
		... Optional Comms	0.0%	0.0%	0.0%	0.2%	1.8%	1.3%	0.0%	0.1%	0.0%	0.6%	0.8%	2.8%						
		(+) Handling Fee	2.9%	3.5%	2.8%	1.6%	4.3%	1.7%	3.1%	3.8%	3.1%	1.5%	3.0%	2.0%	↑ 0.1%	↑ 0.4%	↑ 0.3%	↓ 0.1%	↓ 1.2%	↑ 0.3%
		Total non-Ads takerate%	16.0%	17.9%	17.3%	10.3%	19.0%	17.2%	12.5%	16.7%	13.0%	8.4%	10.0%	15.2%	↓ 3.5%	↓ 1.2%	↓ 4.3%	↓ 1.9%	↓ 9.0%	↓ 2.0%
		(+) Ads	4.6%	4.2%	4.5%	2.8%	5.8%	4.7%	2.4%	4.1%	2.6%	1.0%	3.7%	3.1%	↓ 2.2%	↓ 0.2%	↓ 1.9%	↓ 1.8%	↓ 2.1%	↓ 1.6%
		(+) Marketing Package	0.0%	0.1%	0.2%	-	0.0%	0.2%	0.0%	0.1%	0.4%	0.0%	0.4%	0.3%	↑ 0.0%	↑ 0.1%	↑ 0.1%	↑ 0.0%	↑ 0.3%	↑ 0.1%
		Total Takerate%	20.6%	22.2%	22.1%	13.0%	24.9%	22.0%	14.9%	20.9%	16.0%	9.4%	14.1%	18.6%	↓ 5.7%	↓ 1.3%	↓ 6.1%	↓ 3.6%	↓ 10.8%	↓ 3.5%
		(+) Seller Pass-thru Mkting	0.2%	0.5%	0.7%	0.0%	1.4%	1.1%	0.3%	0.6%	0.8%	0.1%	1.5%	0.3%	↑ 0.1%	↑ 0.1%	↑ 0.0%	↑ 0.1%	↑ 0.1%	↓ 0.9%
		Total MP Seller Cost%	20.8%	22.8%	22.8%	13.0%	26.2%	23.2%	15.2%	21.5%	16.7%	9.5%	15.5%	18.8%	↓ 5.6%	↓ 1.2%	↓ 6.1%	↓ 3.6%	↓ 10.7%	↓ 4.3%
	Logistics Charge	Total SLS logs Cost%	16.3%	7.2%	6.6%	5.1%	10.0%	12.6%	12.2%	9.1%	11.4%	5.5%	9.2%	8.6%	↓ 4.1%	↑ 1.9%	↑ 4.8%	↑ 0.5%	↓ 0.9%	↓ 3.9%
	Total Charge	Cost of Doing Business	37.2%	29.9%	29.4%	18.1%	36.3%	35.8%	27.4%	30.6%	28.1%	15.0%	24.7%	27.5%	↓ 9.7%	↑ 0.7%	↓ 1.3%	↓ 3.1%	↓ 11.6%	↓ 8.3%

Key Highlights

- **From MP Seller Cost perspective,**
  1. **In general**, KR Mall's higher ad investment offset lower commission; KR non-mall's takerate lower than CN
  2. **Market wise**: TH/VN/PH base commission gap contributes to both mall and non-mall takerate gap; ads to increase for non-mall sellers
- **However,** given CNCB ABS is much lower than KR, suggest to compare local MP seller cost instead

[KR - 3P SLS vs Local]: Lower local's commission fees and ads investment narrow the KR - local gap vs CNCB, but international shipping still makes KR sellers' CODB much higher

Table: KR 3P SLS vs Local takerate (Post commission increase)

Category	Metrics	Metrics Breakdown	After (+5% Compulsory Ads and Commission Increase)																	
			Local Beauty (Post comms increase)						KRCB Beauty (Current)						KRCB vs. Local					
			SG	MY	TH	TW	VN	PH	SG	MY	TH	TW	VN	PH	SG	MY	TH	TW	VN	PH
Mall (Beauty)	Marketplace Charge	(+) Commission	16.1%	16.7%	16.6%	10.5%	16.4%	12.4%	10.6%	14.6%	14.6%	9.2%	8.4%	13.3%	↓5.5%	↓2.1%	↓2.0%	↓1.3%	↓8.0%	↑1.0%
		... Mandatory Comms	13.3%	12.4%	10.4%	6.3%	13.9%	10.9%	10.2%	14.0%	13.1%	7.0%	7.2%	9.9%						
		... Optional Comms	2.8%	4.3%	6.2%	4.3%	2.6%	1.5%	0.4%	0.6%	1.5%	2.2%	1.2%	3.5%						
		(+) Handling Fee	2.9%	3.6%	3.5%	1.8%	4.6%	2.2%	3.3%	4.1%	3.4%	1.6%	3.4%	2.1%	↑0.3%	↑0.4%	↓0.1%	↓0.2%	↓1.2%	↓0.1%
		Total non-Ads takerate%	19.0%	20.3%	20.1%	12.3%	21.0%	14.5%	13.9%	18.7%	18.0%	10.8%	11.8%	15.4%	↓5.1%	↓1.6%	↓2.1%	↓1.5%	↓9.2%	↑0.9%
		(+) Ads	6.0%	7.2%	5.1%	2.9%	5.6%	3.1%	13.3%	12.2%	7.2%	11.8%	6.5%	7.8%	↑7.3%	↑5.0%	↑2.1%	↑8.9%	↑0.8%	↑4.7%
		(+) Marketing Package	-	-	-	-	-	-	1.0%	0.4%	0.2%	1.3%	3.9%	0.7%	↑1.0%	↑0.4%	↑0.2%	↑1.3%	↑3.9%	↑0.7%
		Total Takerate%	25.0%	27.6%	25.2%	15.2%	26.6%	17.6%	28.2%	31.3%	25.3%	23.9%	22.2%	23.9%	↑3.1%	↑3.7%	↑0.1%	↑8.7%	↓4.4%	↑6.3%
		(+) Seller Pass-thru Mkting	0.9%	1.4%	1.2%	0.3%	3.3%	0.8%	2.6%	2.6%	5.1%	0.6%	3.1%	1.3%	↑1.6%	↑1.2%	↑3.8%	↑0.3%	↓0.2%	↑0.5%
		Total MP Seller Cost%	26.0%	28.9%	26.4%	15.6%	29.9%	18.4%	30.8%	33.8%	30.4%	24.5%	25.3%	25.2%	↑4.8%	↑4.9%	↑3.9%	↑9.0%	↓4.6%	↑6.8%
	Logistics Charge	Total SLS logs Cost%	-	-	-	-	-	-	12.2%	9.1%	11.4%	5.5%	9.2%	8.6%	↑12.2%	↑9.1%	↑11.4%	↑5.5%	↑9.2%	↑8.6%
	Total Charge	Cost of Doing Business	26.0%	28.9%	26.4%	15.6%	29.9%	18.4%	43.0%	42.9%	41.8%	30.1%	34.5%	33.8%	↑17.0%	↑14.0%	↑15.3%	↑14.5%	↑4.5%	↑15.4%
Non-Mall (Beauty)	Marketplace Charge	(+) Commission	12.3%	14.4%	13.9%	8.4%	14.5%	15.3%	9.4%	12.9%	10.0%	6.9%	7.0%	13.2%	↓2.8%	↓1.6%	↓3.9%	↓1.5%	↓7.5%	↓2.1%
		... Mandatory Comms	10.3%	10.1%	7.5%	4.5%	11.8%	13.5%	9.4%	12.8%	9.9%	6.3%	6.2%	10.4%						
		... Optional Comms	1.9%	4.3%	6.4%	3.9%	2.7%	1.8%	0.0%	0.1%	0.0%	0.6%	0.8%	2.8%						
		(+) Handling Fee	3.0%	3.8%	3.3%	1.7%	4.4%	2.0%	3.1%	3.8%	3.1%	1.5%	3.0%	2.0%	↑0.1%	↑0.1%	↓0.2%	↓0.2%	↓1.4%	↑0.0%
		Total non-Ads takerate%	15.3%	18.2%	17.2%	10.1%	19.0%	17.3%	12.5%	16.7%	13.0%	8.4%	10.0%	15.2%	↓2.8%	↓1.5%	↓4.1%	↓1.7%	↓9.0%	↓2.1%
		(+) Ads	4.0%	4.4%	4.0%	3.6%	4.2%	4.7%	2.4%	4.1%	2.6%	1.0%	3.7%	3.1%	↓1.6%	↓0.3%	↓1.5%	↓2.6%	↓0.5%	↓1.6%
		(+) Marketing Package	-	-	-	-	-	-	0.0%	0.1%	0.4%	0.0%	0.4%	0.3%	↑0.0%	↑0.1%	↑0.4%	↑0.0%	↑0.4%	↑0.3%
		Total Takerate%	19.2%	22.6%	21.2%	13.7%	23.2%	22.0%	14.9%	20.9%	16.0%	9.4%	14.1%	18.6%	↓4.3%	↓1.7%	↓5.2%	↓4.3%	↓9.1%	↓3.5%
		(+) Seller Pass-thru Mkting	0.4%	0.8%	0.9%	0.1%	0.8%	1.0%	0.3%	0.6%	0.8%	0.1%	1.5%	0.3%	↓0.1%	↓0.1%	↓0.1%	↑0.0%	↑0.7%	↓0.7%
		Total MP Seller Cost%	19.7%	23.4%	22.0%	13.8%	23.9%	23.1%	15.2%	21.5%	16.7%	9.5%	15.5%	18.8%	↓4.5%	↓1.9%	↓5.3%	↓4.3%	↓8.4%	↓4.2%
	Logistics Charge	Total SLS logs Cost%	-	-	-	-	-	-	12.2%	9.1%	11.4%	5.5%	9.2%	8.6%	↑12.2%	↑9.1%	↑11.4%	↑5.5%	↑9.2%	↑8.6%
	Total Charge	Cost of Doing Business	19.7%	23.4%	22.0%	13.8%	23.9%	23.1%	27.4%	30.6%	28.1%	15.0%	24.7%	27.5%	↑7.8%	↑7.2%	↑6.0%	↑1.2%	↑0.8%	↑4.4%

Key Highlights

- **From MP Seller Cost perspective,**
  - **In general**, local Seller has a lower commission charge and ads contribution vs CNCB
  - **Market wise**: gap remain large for TH/VN/PH non-mall
- **However,** adding logistics cost, **total cost of doing business** for KR sellers are much higher than local sellers

[Discussion #1] For KRCB 3P SLS Increase Goal: Propose with Target 2 to closer the gap vs Local sellers on MP seller Cost%, an average of 1-3% in all mkts with VN higher at 5.4% takerate uplift requirement

Table: Simulation based on FY26 projections in Dec official budget (only selected impact markets)

Target Scenario	Mkt	KR Mall MP TR%			KR Non-Mall TR%			Total TR%		
		Current	After	△, %	Current	After	△, %	Current	After	△, $
1 #1: Close total CODB % gap vs Local	Total	/	/	/	/	/	/			
	SG	28.2%	28.2%	-	14.9%	14.9%	-	22.8%	22.8%	-
	MY	31.3%	31.3%	-	20.9%	20.9%	-	26.2%	26.2%	-
	TH	25.3%	25.3%	-	16.0%	16.0%	-	20.6%	20.6%	-
	TW	23.9%	23.9%	-	9.4%	9.4%	-	13.8%	13.8%	-
	VN	22.2%	22.2%	-	14.1%	14.1%	-	20.5%	20.5%	-
	PH	23.9%	23.9%	-	18.6%	18.6%	-	20.8%	20.8%	-
2 #2: Close MP Seller Cost% gap vs Local	Total	/	/	/	/	/	/			/
	SG	28.2%	28.2%	-	14.9%	19.4%	↑ 4.5%	22.8%	24.5%	↑ 1.7%
	MY	31.3%	31.3%	-	20.9%	22.8%	↑ 1.9%	26.2%	27.1%	↑ 0.9%
	TH	25.3%	25.3%	-	16.0%	21.3%	↑ 5.3%	20.6%	23.3%	↑ 2.6%
	TW	23.9%	23.9%	-	9.4%	13.7%	↑ 4.3%	13.8%	16.8%	↑ 3.0%
	VN	22.2%	26.8%	↑ 4.6%	14.1%	22.5%	↑ 8.4%	20.5%	25.9%	↑ 5.4%
	PH	23.9%	23.9%	-	18.6%	22.8%	↑ 4.2%	20.8%	23.3%	↑ 2.4%
3 #3: Closing MP Seller Cost gap% vs CNCB	Total	/	/	/	/	/	/			/
	SG	28.2%	28.2%	-	14.9%	20.5%	↑ 5.6%	22.8%	25.0%	↑ 2.2%
	MY	31.3%	31.3%	-	20.9%	22.1%	↑ 1.2%	26.2%	26.8%	↑ 0.6%
	TH	25.3%	32.9%	↑ 7.5%	16.0%	22.0%	↑ 6.1%	20.6%	27.5%	↑ 6.8%
	TW	23.9%	23.9%	-	9.4%	13.0%	↑ 3.6%	13.8%	16.3%	↑ 2.5%
	VN	22.2%	28.7%	↑ 6.6%	14.1%	24.7%	↑ 10.7%	20.5%	27.9%	↑ 7.4%
	PH	23.9%	26.7%	↑ 2.7%	18.6%	22.9%	↑ 4.3%	20.8%	24.5%	↑ 3.6%

Key Discussion:

#1 Whom shall we benchmark with?

>> Suggest **Local beauty** as benchmark, given

- Closer ABS vs KRCB (CNCB ~50% of KR ABS, local ~70%)
- As ABS rises, sellers cut margins to keep prices acceptable, so seller gross margins tend to fall. For MP cost benchmarking, use the closest ABS group as the reference is more reasonable

#2 Which metrics shall we benchmark with?

>> Suggest **MP Seller Cost%,** even though CODB captures total seller cost, two points matter:

- CB is pricier than local and sellers are used to it;
- From platform P&L view, extra logistics revenue from KR offsets the logistics cost, and we should target similar earnings at MP

So, propose option 2 as the benchmark

Supporting: KR ABS for Mall/Non-Mall is closer to local as compared to CNCB

Table: KRCB ABS vs CNCB vs Local (Oct'25, Actuals)

Cate	Metrics	Shop	SG			MY			TH			TW			VN			PH		
			KRCB	CNCB	Local	KRCB	CNCB	Local	KRCB	CNCB	Local	KRCB	CNCB	Local	KRCB	CNCB	Local	KRCB	CNCB	Local
Beauty	ABS	Total	17.3	14.0	29.4	15.1	8.6	9.9	14.5	6.3	9.6	32.7	22.5	22.6	11.6	3.9	7.6	13.8	3.7	5.2
		Mall	15.6	26.4	32.8	12.8	14.7	11.2	12.2	7.2	12.7	29.8	28.0	28.7	11.9	4.6	8.9	11.4	4.4	6.8
		Non-mall	22.2	11.1	25.5	20.3	6.3	9.1	19.8	5.8	7.5	34.2	20.7	21.2	10.2	2.8	6.6	16.9	3.3	4.5
	ABS gap vs KRCB	Total		0.8x	1.7x		0.6x	0.7x		0.4x	0.7x		0.7x	0.7x		0.3x	0.7x		0.3x	0.4x
		Mall		1.7x	2.1x		1.2x	0.9x		0.6x	1.0x		0.9x	1.0x		0.4x	0.7x		0.4x	0.6x
		Non-mall		0.5x	1.1x		0.3x	0.4x		0.3x	0.4x		0.6x	0.6x		0.3x	0.6x		0.2x	0.3x
All	ABS	Total	19.3	12.3	37.5	17.8	9.1	15.9	18.1	8.0	13.6	34.9	24.2	24.4	11.9	4.2	8.1	17.2	5.6	7.6
		Mall	17.1	21.6	58.9	14.3	14.0	29.2	15.2	12.1	25.8	33.7	37.4	36.1	12.2	5.3	14.9	14.2	10.9	18.2
		Non-mall	23.5	11.0	28.7	23.6	8.1	13.2	22.3	7.0	10.8	35.4	23.0	22.1	10.8	3.8	6.5	20.2	4.9	6.0
	ABS gap vs KRCB	Total		0.6x	1.9x		0.5x	0.9x		0.4x	0.8x		0.7x	0.7x		0.4x	0.7x		0.3x	0.4x
		Mall		1.3x	3.4x		1.0x	2.0x		0.8x	1.7x		1.1x	1.1x		0.4x	1.2x		0.8x	1.3x
		Non-mall		0.5x	1.2x		0.3x	0.6x		0.3x	0.5x		0.7x	0.6x		0.4x	0.6x		0.2x	0.3x

Key Highlights:

- In General, **KRCB>Local>CNCB**, CNCB ABS is only half of KR, local is higher at 60-70%

[Discussion #2] How to increase KR 3P SLS Takerate? Key Question is whether to use Mall growth to compensate Non-mall Gap

Table: Ways to increase takerate by Mall and Non-mall

Seller Type	Market	Current	Target 1 vs Local CODB	Target 2: vs Local MP Cost	Target 3: vs CN MP Cost	Final Proposal (Method A): increase mall+non-mall by setting 2% threshold					Final Proposal (Method B): mainly increase Non-mall by setting 5% threshold				
						MP TR, %	MP TR, △	Comm, △	ads, △	Gap vs target 2	MP Ttl TR%	MP TR, △	Comm, △	ads, △	Gap vs target 2
Total	Total														
	SG	22.8%	22.8%	24.5%	▲ 25.0%	25.4%	↑ 2.6%	↑ 1.8%	↑ 0.8%	0.8%	24.3%	↑ 1.5%	-	↑ 1.5%	-0.2%
	MY	26.2%	26.2%	27.1%	▲ 26.8%	27.0%	↑ 0.8%	-	↑ 0.8%	-0.1%	27.9%	↑ 1.7%	-	↑ 1.7%	0.8%
	TH	20.6%	20.6%	23.3%	▲ 27.5%	23.5%	↑ 2.9%	↑ 1.9%	↑ 1.0%	0.2%	24.1%	↑ 3.5%	↑ 1.9%	↑ 1.7%	0.9%
	TW	13.8%	13.8%	▲ 16.8%	16.3%	15.2%	↑ 1.4%	↑ 1.4%	-	-1.6%	13.8%	-	-	-	-3.0%
	VN	20.5%	20.5% ▲	25.9%	27.9%	22.2%	↑ 1.7%	↑ 1.3%	↑ 0.4%	-3.7%	22.3%	↑ 1.9%	↑ 1.3%	↑ 0.5%	-3.5%
	PH	20.8%	20.8%	▲ 23.3%	24.5%	22.5%	↑ 1.7%	↑ 0.9%	↑ 0.8%	-0.7%	23.7%	↑ 2.8%	↑ 0.9%	↑ 2.0%	0.4%
Mall	Total														
	SG	28.2%	28.2%	28.2%	▲ 28.2%	30.3%	↑ 2.1%	↑ 1.9%	↑ 0.2%	2.1%	28.2%	-	-		-
	MY	31.3%	31.3%	31.3%	▲ 31.3%	31.6%	↑ 0.3%	-	↑ 0.3%	0.3%	31.3%	-	-		-
	TH	25.3%	25.3%	25.3%	▲ 32.9%	28.1%	↑ 2.7%	↑ 2.0%	↑ 0.8%	2.7%	27.3%	↑ 2.0%	↑ 2.0%		2.0%
	TW	23.9%	23.9%	23.9%	▲ 23.9%	25.4%	↑ 1.5%	↑ 1.5%	-	1.5%	23.9%	-	-		-
	VN	22.2%	22.2% ▲	26.8%	28.7%	23.8%	↑ 1.6%	↑ 1.3%	↑ 0.2%	-3.0%	23.5%	↑ 1.3%	↑ 1.3%		-3.3%
	PH	23.9%	23.9%	23.9%	▲ 26.7%	25.1%	↑ 1.1%	↑ 0.9%	↑ 0.2%	1.1%	24.9%	↑ 0.9%	↑ 0.9%		0.9%
Non mall	Total														
	SG	14.9%	14.9% ▲	19.4%	20.5%	18.2%	↑ 3.3%	↑ 1.8%	↑ 1.5%	-1.2%	18.8%	↑ 3.9%	-	↑ 3.9%	-0.6%
	MY	20.9%	20.9%	22.8%	▲ 22.1%	22.2%	↑ 1.3%	-	↑ 1.3%	-0.5%	24.4%	↑ 3.5%	-	↑ 3.5%	1.6%
	TH	16.0%	16.0% ▲	21.3%	22.0%	19.0%	↑ 3.0%	↑ 1.8%	↑ 1.3%	-2.3%	21.0%	↑ 5.1%	↑ 1.8%	↑ 3.3%	-0.3%
	TW	9.4%	9.4% ▲	13.7%	13.0%	10.8%	↑ 1.4%	↑ 1.4%	-	-2.9%	9.4%	-	-	-	-4.3%
	VN	14.1%	14.1% ▲	22.5%	24.7%	16.2%	↑ 2.2%	↑ 1.2%	↑ 1.0%	-6.2%	17.9%	↑ 3.8%	↑ 1.2%	↑ 2.6%	-4.6%
	PH	18.6%	18.6%	▲ 22.8%	22.9%	20.7%	↑ 2.2%	↑ 0.9%	↑ 1.3%	-2.0%	22.8%	↑ 4.3%	↑ 0.9%	↑ 3.3%	0.0%

▲ ▲ Position post increase

Key Highlights:

Rule:
Typically, the most straightforward way is
- Malls increase ads
- Non-mall: increase commission+ads

But we're constrained by the norm that Mall commission should be higher than non-mall, so we can't do this

Proposal:
Method A:
- Pros: on more straightforward seller communication
- Cons: compensate non-mall with more charge in mall which already quite high MP cost

Method B:
- Pros: charge based on target set
- Cons: high threshold for compulsory ads (4% vs 2%)

Discussion: which method to use?

[Discussion #3] For FBS/3PF, more straightforward to follow Terence guideline on commission setting that 3PF = FBS = SLS, except for SG/VN where CNCB also have a gap btw SLS and FBS

Table 1: Commission Increase vs CNCB benchmark (use method A as illustration)

Metrics	Mkt	BU	Mall									Non-Mall								
			Current Charge Rate%			Proposal (#) Charge rate%			Proposal (Δ) Charge rate%			Current Charge Rate%			Proposal (Δ) Charge rate%			Proposal (Δ) Charge rate%		
			SLS	3PF	FBS	SLS	3PF	FBS	SLS	3PF	FBS	SLS	3PF	FBS	SLS	3PF	FBS	SLS	3PF	FBS
Commission	SG	CNCB	14.0%	14.0%	9.0%	16.0%	16.0%	11.0%	↑2.0%	↑2.0%	↑2.0%	14.0%	14.0%	9.0%	16.0%	16.0%	11.0%	↑2.0%	↑2.0%	↑2.0%
		KRCB	12.0%	-	9.0%	14.0%	-	11.0%	↑2.0%		↑2.0%	12.0%	14.0%	9.0%	14.0%	14.0%	11.0%	↑2.0%		↑2.0%
	MY	CNCB	17.0%	17.0%	10.0%	17.0%	17.0%	14.0%	-	-	↑4.0%	17.0%	17.0%	10.0%	17.0%	17.0%	14.0%	-	-	↑4.0%
		KRCB	14.0%	17.0%	10.0%	14.0%	17.0%	14.0%	-		↑4.0%	14.0%	17.0%	10.0%	14.0%	17.0%	14.0%	-		↑4.0%
	TH	CNCB	17.0%	17.0%	11.0%	19.1%	19.1%	19.1%	↑2.1%	↑2.1%	↑8.1%	15.0%	15.0%	9.0%	17.1%	17.1%	17.1%	↑2.1%	↑2.1%	↑8.1%
		KRCB	15.0%	15.0%	11.0%	17.0%	17.0%	17.0%	↑2.0%	↑2.0%	↑6.0%	13.0%	13.0%	9.0%	15.0%	15.0%	15.0%	↑2.0%	↑2.0%	↑6.0%
	TW	CNCB	7.0%	-	-	14.0%	-	-	↑7.0%			7.0%	-	-	14.0%	-	-	↑7.0%		
		KRCB	9.0%	-	-	11.0%	-	-	↑2.0%			9.0%	-	-	11.0%	-	-	↑2.0%		
	VN	CNCB	13.3%	8.6%	-	14.3%	9.6%	-	↑1.0%	↑1.0%	-	13.3%	9.7%	-	14.3%	10.7%	-	↑1.0%	↑1.0%	-
		KRCB	11.3%	10.6%	-	13.3%	12.6%	-	↑2.0%	↑2.0%		11.3%	10.6%	-	13.3%	12.6%	-	↑2.0%	↑2.0%	
	PH	CNCB	13.8%	13.8%	10.1%	14.8%	14.8%	11.6%	↑1.0%	↑1.0%	↑1.5%	14.8%	14.8%	11.1%	15.8%	15.8%	12.6%	↑1.0%	↑1.0%	↑1.5%
		KRCB	10.7%	10.7%	10.7%	11.7%	11.7%	11.7%	↑1.0%	↑1.0%	↑1.0%	11.7%	11.7%	11.7%	12.7%	12.7%	12.7%	↑1.0%	↑1.0%	↑1.0%

SG: keep the FBS vs SLS gap, same as CNCB; FBS same uplift as 3P SLS

MY: close the gap, same increase % as 3P SLS

VN: keep the gap btw 3P SLS and 3PF, same as CNCB; FBS same uplift as 3P SLS

KRCB Takerate Increase simulation: if to use method A which increase Mall and Non-mall together, est. +9mil FY26 P&L; if to use method B (only increase non-mall), +8mil FY26

Metrics	Mkt	BU	Mall			Non-Mall			Total		ADO
			Proposal (Δ) Take rate%			Proposal (Δ) Take rate%			P&L ($)		Total
			SLS	3PF	FBS	SLS	3PF	FBS	Monthly (USD)	Yearly (USD)	
Commission	SG	KRCB	↑1.9%	-	↑2.4%	↑1.8%	-	↑2.2%	↑ 163k	↑ 2m	↓0.4%
	MY	KRCB	-	-	↑4.5%	-	-	↑4.3%	↑ 60k	↑ 1m	↓2.4%
	TH	KRCB	↑2.0%	↑2.0%	↑7.1%	↑1.8%	↑2.1%	↑6.0%	↑ 112k	↑ 1m	↓2.2%
	TW	KRCB	↑1.5%	-	-	↑1.4%	-	-	↑ 100k	↑ 1m	↓0.2%
	VN	KRCB	↑1.3%	↑1.7%	-	↑1.2%	↑1.9%	-	↑ 72k	↑ 1m	↓1.3%
	PH	KRCB	↑0.9%	↑1.0%	↑1.1%	↑0.9%	↑0.9%	↑1.0%	↑ 46k	↑ 1m	↓1.4%
Ads	SG	KRCB	↑0.2%	-	↑0.2%	↑1.5%	-	↑1.3%	↑ 62k	↑ 1m	↓0.2%
	MY	KRCB	↑0.3%	↑0.6%	↑0.3%	↑1.3%	↑0.6%	↑1.0%	↑ 36k	↑ 0m	↓1.5%
	TH	KRCB	↑0.8%	↑0.4%	↑0.3%	↑1.3%	↑1.1%	↑1.1%	↑ 31k	↑ 0m	↓0.8%
	TW	KRCB	-	-	-	-	-	-	↓ 0k	↓ 0m	-
	VN	KRCB	↑0.2%	↑0.2%	↑1.5%	↑1.0%	↑0.3%	↑0.1%	↑ 17k	↑ 0m	↓0.6%
	PH	KRCB	↑0.2%	↑0.3%	↑0.4%	↑1.3%	↑0.7%	↑1.0%	↑ 40k	↑ 0m	↓1.6%

A total of ~9mil P&L uplift FY26 if to use method A

Agenda

- KRCB
  - 3P SLS Increase Target (Mall/Non-mall)
  - 3P SLS Increase method (Mall/Non-mall)
  - FBS/3PF Increase Target and method
- JPCB
  - Simulations on 2% base commission increase + 2% Ads threshold

[For JP] given 1) size is small 2) ABS is much higher than any other BU, in this case, CODB or MP Cost% direct comparison across BU is not suggested

Table: KR/JP/CN vs local ADO/ADGMV/ABS

Shop	Category	Metrics	SG				MY				TH				TW				VN				PH		
			CNCB	KRCB	JPCB	Local	CNCB	KRCB	JPCB	Local	CNCB	KRCB	JPCB	Local	CNCB	KRCB	JPCB	Local	CNCB	KRCB	Local	CNCB	KRCB	JPCB	Local
Total	Total (All Categories)	ADO	119k	14k	2k	166k	376k	9k	1k	1,505k	467k	6k	2k	3,143k	44k	6k	2k	1,288k	436k	13k	4,411k	1,017k	9k	5k	3,596k
		ADGMV	1,466k	262k	80k	6,229k	3,416k	156k	105k	23,887k	3,711k	117k	60k	42,824k	1,060k	223k	168k	31,438k	1,843k	154k	35,891k	5,690k	163k	152k	27,225k
		ABS	12.3	19.3	36.2	37.5	9.1	17.8	72.6	15.9	8.0	18.1	34.5	13.6	24.2	34.9	89.0	24.4	4.2	11.9	8.1	5.6	17.2	28.1	7.6
Mall	Total	ADO	15k	9k	0k	48k	61k	6k	0k	250k	86k	4k	0k	590k	3k	2k	0k	212k	126k	10k	876k	117k	5k	0k	457k
		ADGMV	320k	156k	6k	2,848k	855k	79k	0k	7,288k	1,043k	58k	2k	15,214k	128k	68k	3k	7,659k	660k	122k	13,053k	1,276k	68k	0k	8,328k
		ABS	21.6	17.1	31.7	58.9	14.0	14.3	27.5	29.2	12.1	15.2	40.4	25.8	37.4	33.7	62.2	36.1	5.3	12.2	14.9	10.9	14.2	17.3	18.2
Non-Mall	Total	ADO	104k	5k	2k	118k	315k	3k	1k	1,255k	380k	3k	2k	2,552k	40k	4k	2k	1,076k	311k	3k	3,535k	900k	5k	5k	3,139k
		ADGMV	1,146k	106k	74k	3,381k	2,561k	77k	105k	16,599k	2,667k	58k	58k	27,610k	932k	156k	165k	23,778k	1,183k	32k	22,838k	4,414k	94k	151k	18,897k
		ABS	11.0	23.5	36.6	28.7	8.1	23.6	72.9	13.2	7.0	22.3	34.3	10.8	23.0	35.4	89.8	22.1	3.8	10.8	6.5	4.9	20.2	28.2	6.0

Key Highlights:

- To follow emails guideline, increase 2% across mkts, and set 2% compulsory ads threshold

Backup: JPCB 3P SLS vs CNCB Beauty, as JP Mall is very small, the numbers are quite dramatic when comparing

Table: JP 3P SLS vs CNCB 3P SLS takerate (Post commission increase)

Category	Metrics	Metrics Breakdown	After (+5% Compulsory Ads and Commission Increase)																	
			CNCB Beauty (Post comms increase)						JPCB Beauty (Current)						JPCB vs. CNCB					
			SG	MY	TH	TW	VN	PH	SG	MY	TH	TW	VN	PH	SG	MY	TH	TW	VN	PH
Mall (Beauty)	Marketplace Charge	(+) Commission	14.1%	16.5%	19.2%	8.5%	13.8%	14.9%	10.7%	12.9%	14.3%	9.1%	-	15.2%	↓ 3.4%	↓ 3.7%	↓ 4.8%	↑ 0.6%	↓ 13.8%	↑ 0.3%
		... Mandatory Comms	14.1%	16.4%	18.8%	7.8%	11.6%	13.7%	10.7%	12.9%	14.3%	7.2%	-	9.7%						
		... Optional Comms	-0.0%	0.1%	0.4%	0.7%	2.3%	1.2%	-0.0%	0.0%	-0.0%	1.9%	-	5.5%						
		(+) Handling Fee	3.2%	4.0%	3.3%	1.8%	4.5%	1.9%	3.1%	3.8%	3.3%	1.7%	-	2.0%	↓ 0.1%	↓ 0.2%	↓ 0.0%	↓ 0.1%	↓ 4.5%	↑ 0.1%
		Total non-Ads takerate%	17.3%	20.5%	22.4%	10.3%	18.3%	16.8%	13.8%	16.7%	17.6%	10.8%	-	17.2%	↓ 3.6%	↓ 3.9%	↓ 4.8%	↑ 0.5%	↓ 18.3%	↑ 0.4%
		(+) Ads	6.1%	7.1%	13.7%	8.4%	9.9%	9.8%	36.7%	46.0%	53.2%	37.3%	-	28.4%	↑ 30.6%	↑ 38.9%	↑ 39.4%	↑ 28.9%	↓ 9.9%	↑ 18.7%
		(+) Marketing Package	0.5%	0.1%	0.4%	0.0%	0.8%	0.4%	1.8%	-	-	-	-	-	↑ 1.3%	↓ 0.1%	↓ 0.4%	↓ 0.0%	↓ 0.8%	↓ 0.4%
		Total Takerate%	23.9%	27.8%	36.6%	18.7%	29.1%	26.9%	52.2%	62.7%	70.8%	48.1%	-	45.6%	↑ 28.3%	↑ 34.9%	↑ 34.2%	↑ 29.4%	↓ 29.1%	↑ 18.7%
		(+) Seller Pass-thru Mkting	0.7%	1.2%	1.3%	0.2%	2.8%	1.0%	0.9%	1.1%	3.7%	3.9%	-	2.0%	↑ 0.1%	↓ 0.1%	↑ 2.4%	↑ 3.7%	↓ 2.8%	↑ 1.0%
		Total MP Seller Cost%	24.6%	29.0%	37.9%	18.9%	31.9%	27.9%	53.0%	63.8%	74.5%	52.0%	-	47.6%	↑ 28.4%	↑ 34.9%	↑ 36.6%	↑ 33.1%	↓ 31.9%	↑ 19.7%
	Logistics Charge	Total SLS logs Cost%	16.3%	7.2%	6.6%	5.1%	10.0%	12.6%	9.4%	4.5%	8.6%	1.7%	6.6%	8.0%	↓ 6.9%	↓ 2.7%	↑ 2.0%	↓ 3.4%	↓ 3.4%	↓ 4.6%
	Total Charge	Cost of Doing Business	41.0%	36.1%	44.5%	24.0%	41.9%	40.5%	62.5%	68.3%	83.1%	53.7%	6.6%	55.6%	↑ 21.5%	↑ 32.1%	↑ 38.6%	↑ 29.7%	↓ 35.3%	↑ 15.1%
Non-Mall (Beauty)	Marketplace Charge	(+) Commission	13.0%	14.5%	14.5%	11.8%	14.7%	15.4%	10.2%	11.9%	10.0%	7.6%	8.2%	14.3%	↓ 2.8%	↓ 2.6%	↓ 4.5%	↓ 4.3%	↓ 6.5%	↓ 1.1%
		... Mandatory Comms	13.0%	14.4%	14.5%	11.8%	12.9%	14.1%	10.2%	11.9%	10.0%	6.6%	7.2%	10.5%						
		... Optional Comms	0.0%	0.0%	0.0%	-	1.8%	1.3%	-0.0%	0.0%	0.0%	1.0%	1.0%	3.9%						
		(+) Handling Fee	2.9%	3.5%	2.8%	1.3%	4.3%	1.7%	3.0%	3.8%	2.9%	1.5%	3.6%	2.1%	↑ 0.0%	↑ 0.3%	↑ 0.1%	↑ 0.2%	↓ 0.7%	↑ 0.4%
		Total non-Ads takerate%	16.0%	17.9%	17.3%	13.1%	19.0%	17.2%	13.2%	15.7%	12.9%	9.1%	11.8%	16.4%	↓ 2.8%	↓ 2.3%	↓ 4.4%	↓ 4.1%	↓ 7.2%	↓ 0.7%
		(+) Ads	4.6%	4.2%	4.5%	2.8%	5.8%	4.7%	1.7%	1.3%	1.2%	1.2%	0.6%	1.2%	↓ 2.9%	↓ 3.0%	↓ 3.3%	↓ 1.6%	↓ 5.3%	↓ 3.5%
		(+) Marketing Package	0.0%	0.1%	0.2%	-	0.0%	0.2%	-	-	-	0.0%	-	0.0%	↓ 0.0%	↓ 0.1%	↓ 0.2%	↑ 0.0%	↓ 0.0%	↓ 0.1%
		Total Takerate%	20.6%	22.2%	22.1%	15.9%	24.9%	22.0%	14.8%	16.9%	14.1%	10.3%	12.4%	17.6%	↓ 5.7%	↓ 5.3%	↓ 8.0%	↓ 5.6%	↓ 12.5%	↓ 4.4%
		(+) Seller Pass-thru Mkting	0.2%	0.5%	0.7%	0.0%	1.4%	1.1%	0.3%	0.4%	0.9%	0.1%	1.5%	0.8%	↑ 0.0%	↓ 0.1%	↑ 0.2%	↑ 0.1%	↑ 0.1%	↓ 0.4%
		Total MP Seller Cost%	20.8%	22.8%	22.8%	15.9%	26.2%	23.2%	15.1%	17.3%	15.0%	10.4%	13.8%	18.4%	↓ 5.7%	↓ 5.4%	↓ 7.8%	↓ 5.5%	↓ 12.4%	↓ 4.8%
	Logistics Charge	Total SLS logs Cost%	16.3%	7.2%	6.6%	5.1%	10.0%	12.6%	9.4%	4.5%	8.6%	1.7%	6.6%	8.0%	↓ 6.9%	↓ 2.7%	↑ 2.0%	↓ 3.4%	↓ 3.4%	↓ 4.6%
	Total Charge	Cost of Doing Business	37.2%	29.9%	29.4%	21.0%	36.3%	35.8%	24.5%	21.8%	23.7%	12.1%	20.4%	26.4%	↓ 12.6%	↓ 8.1%	↓ 5.8%	↓ 8.9%	↓ 15.8%	↓ 9.3%

Backup: JPCB 3P SLS vs Local Beauty, similar trends when compared with CNCB

Table: JP 3P SLS vs Local takerate (Post commission increase)

Category	Metrics	Metrics Breakdown	After (+5% Compulsory Ads and Commission Increase)																	
			Local Beauty (Post comms increase)						JPCB Beauty (Current)						JPCB vs. Local					
			SG	MY	TH	TW	VN	PH	SG	MY	TH	TW	VN	PH	SG	MY	TH	TW	VN	PH
Mall (Beauty)	Marketplace Charge	(+) Commission	16.1%	16.7%	16.6%	10.5%	16.4%	12.4%	10.7%	12.9%	14.3%	9.1%	-	15.2%	↓5.4%	↓3.8%	↓2.3%	↓1.4%	↓16.4%	↑2.8%
		... Mandatory Comms	13.3%	12.4%	10.4%	6.3%	13.9%	10.9%	10.7%	12.9%	14.3%	7.2%	-	9.7%						
		... Optional Comms	2.8%	4.3%	6.2%	4.3%	2.6%	1.5%	-0.0%	0.0%	-0.0%	1.9%	-	5.5%						
		(+) Handling Fee	2.9%	3.6%	3.5%	1.8%	4.6%	2.2%	3.1%	3.8%	3.3%	1.7%	-	2.0%	↑0.2%	↑0.2%	↓0.2%	↓0.1%	↓4.6%	↓0.2%
		Total non-Ads takerate%	19.0%	20.3%	20.1%	12.3%	21.0%	14.5%	13.8%	16.7%	17.6%	10.8%	-	17.2%	↓5.3%	↓3.6%	↓2.5%	↓1.5%	↓21.0%	↑2.6%
		(+) Ads	6.0%	7.2%	5.1%	2.9%	5.6%	3.1%	36.7%	46.0%	53.2%	37.3%	-	28.4%	↑30.6%	↑38.8%	↑48.1%	↑34.4%	↓5.6%	↑25.3%
		(+) Marketing Package	-	-	-	-	-	-	1.8%	-	-	-	-	-	↑1.8%	-	-	-	-	-
		Total Takerate%	25.0%	27.6%	25.2%	15.2%	26.6%	17.6%	52.2%	62.7%	70.8%	48.1%	-	45.6%	↑27.1%	↑35.2%	↑45.6%	↑32.9%	↓26.6%	↑28.0%
		(+) Seller Pass-thru Mkting	0.9%	1.4%	1.2%	0.3%	3.3%	0.8%	0.9%	1.1%	3.7%	3.9%	-	2.0%	↓0.1%	↓0.3%	↑2.5%	↑3.6%	↓3.3%	↑1.3%
		Total MP Seller Cost%	26.0%	28.9%	26.4%	15.6%	29.9%	18.4%	53.0%	63.8%	74.5%	52.0%	-	47.6%	↑27.1%	↑34.9%	↑48.1%	↑36.5%	↓29.9%	↑29.2%
	Logistics Charge	Total SLS logs Cost%	-	-	-	-	-	-	9.4%	4.5%	8.6%	1.7%	6.6%	8.0%	↑9.4%	↑4.5%	↑8.6%	↑1.7%	↑6.6%	↑8.0%
	Total Charge	Cost of Doing Business	26.0%	28.9%	26.4%	15.6%	29.9%	18.4%	62.5%	68.3%	83.1%	53.7%	6.6%	55.6%	↑36.5%	↑39.4%	↑56.7%	↑38.1%	↓23.3%	↑37.2%
Non-Mall (Beauty)	Marketplace Charge	(+) Commission	12.3%	14.4%	13.9%	8.4%	14.5%	15.3%	10.2%	11.9%	10.0%	7.6%	8.2%	14.3%	↓2.0%	↓2.5%	↓3.8%	↓0.9%	↓6.3%	↓1.0%
		... Mandatory Comms	10.3%	10.1%	7.5%	4.5%	11.8%	13.5%	10.2%	11.9%	10.0%	6.6%	7.2%	10.5%						
		... Optional Comms	1.9%	4.3%	6.4%	3.9%	2.7%	1.8%	-0.0%	0.0%	0.0%	1.0%	1.0%	3.9%						
		(+) Handling Fee	3.0%	3.8%	3.3%	1.7%	4.4%	2.0%	3.0%	3.8%	2.9%	1.5%	3.6%	2.1%	↓0.0%	↓0.0%	↓0.4%	↓0.1%	↓0.9%	↑0.1%
		Total non-Ads takerate%	15.3%	18.2%	17.2%	10.1%	19.0%	17.3%	13.2%	15.7%	12.9%	9.1%	11.8%	16.4%	↓2.1%	↓2.6%	↓4.2%	↓1.0%	↓7.1%	↓0.9%
		(+) Ads	4.0%	4.4%	4.0%	3.6%	4.2%	4.7%	1.7%	1.3%	1.2%	1.2%	0.6%	1.2%	↓2.3%	↓3.1%	↓2.9%	↓2.4%	↓3.7%	↓3.6%
		(+) Marketing Package	-	-	-	-	-	-	-	-	-	0.0%	-	0.0%	-	-	-	↑0.0%	-	↑0.0%
		Total Takerate%	19.2%	22.6%	21.2%	13.7%	23.2%	22.0%	14.8%	16.9%	14.1%	10.3%	12.4%	17.6%	↓4.4%	↓5.7%	↓7.1%	↓3.4%	↓10.8%	↓4.4%
		(+) Seller Pass-thru Mkting	0.4%	0.8%	0.9%	0.1%	0.8%	1.0%	0.3%	0.4%	0.9%	0.1%	1.5%	0.8%	↓0.2%	↓0.3%	↑0.1%	↑0.0%	↑0.7%	↓0.3%
		Total MP Seller Cost%	19.7%	23.4%	22.0%	13.8%	23.9%	23.1%	15.1%	17.3%	15.0%	10.4%	13.8%	18.4%	↓4.6%	↓6.0%	↓7.0%	↓3.4%	↓10.1%	↓4.7%
	Logistics Charge	Total SLS logs Cost%	-	-	-	-	-	-	9.4%	4.5%	8.6%	1.7%	6.6%	8.0%	↑9.4%	↑4.5%	↑8.6%	↑1.7%	↑6.6%	↑8.0%
	Total Charge	Cost of Doing Business	19.7%	23.4%	22.0%	13.8%	23.9%	23.1%	24.5%	21.8%	23.7%	12.1%	20.4%	26.4%	↑4.8%	↓1.6%	↑1.6%	↓1.7%	↓3.5%	↑3.3%

JPCB Takerate Increase simulation: if to use increase 2% commission + 2% compulsory ads, est. +6mil FY26 P&L

Metrics	Mkt	BU	Mall			Non-Mall			Total		ADO
			Proposal (Δ) Take rate%			Proposal (Δ) Take rate%			P&L ($)		Total
			SLS	3PF	FBS	SLS	3PF	FBS	Monthly (USD)	Yearly (USD)	
Commission	SG	JPCB	↑2.0%	↑2.0%	↑2.0%	↑2.0%	↑2.0%	↑2.0%	50,219	602,634	↓0.3%
	MY	JPCB	↑2.0%	↑2.0%	↑2.0%	↑2.0%	↑2.0%	↑2.0%	63,463	761,561	↓2.2%
	TH	JPCB	↑2.0%	↑2.0%	↑2.0%	↑2.0%	↑2.0%	↑2.0%	37,183	446,193	↓1.2%
	TW	JPCB	↑2.0%	↑2.0%	↑2.0%	↑2.0%	↑2.0%	↑2.0%	106,133	1,273,600	↓0.2%
	VN	JPCB	↑2.0%	↑2.0%	↑2.0%	↑2.0%	↑2.0%	↑2.0%	4,714	56,573	↓1.3%
	PH	JPCB	↑2.0%	↑2.0%	↑2.0%	↑2.0%	↑2.0%	↑2.0%	91,367	1,096,403	↓2.2%
Ads	SG	JPCB	↑0.3%	-	-	↑1.3%	-	↑0.7%	29,846	358,151	↓0.3%
	MY	JPCB	↑0.2%	-	-	↑1.0%	-	↑0.8%	31,018	372,211	↓1.1%
	TH	JPCB	↑0.0%	-	-	↑1.2%	-	-	20,556	246,671	↓1.1%
	TW	JPCB	-	-	-	-	-	-	0	0	-
	VN	JPCB		-	-	↑1.1%	-	-	2,614	31,364	↓1.3%
	PH	JPCB	↑0.2%	-	-	↑1.1%	-	-	48,952	587,427	↓2.2%

A total of ~5.8mil P&L uplift FY26

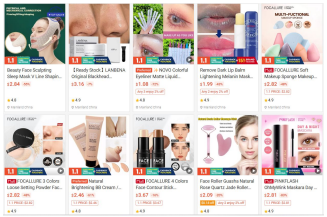
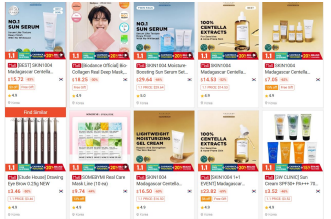
Question Backup #1: Thinking on why should benchmark closer ABS group

Table 1 : Illustration on COGS impact to seller margin

Metrics	CN	KR	KR
		A. if to keep same margin as CNCB (low ABS)	B. Real case tendency
COGS, usd	$2	$10	$10
Gross Margin, %	50%	50%	40%
Gross Profit, usd	**$2**	**$10**	**$6.7**
Selling Price, usd	$4	$20	$16.7

Lower margin % vs. CN but higher $ amt

Table 2: General Open Source evidence

	CN	KR	Sources
Branded Sellers	Low End: 50-60% High End: 80%	Brands like COSRX, d'Alba ~75%	Annual Report, News
Retailers (MP)	35% – 55%	30% – 45% (lower margin than CN) Commented by KR resellers normally get 25-35%	Double validate with product mix ● Skincare: 10% – 20% ● Makeup/Color Cosmetics: 20% – 35% ● Fragrances: 25% – 40% And for KR, Skincare proportion is higher than CN
Illustration on Selling Items			

Thinkings:

- The reason why we benchmark either MP cost or CODB is at the basis of **eating up seller's margin**
- Then, the question is do CN and KR sellers have **similar margin** when their ABS are so much different? **No, Highly likely**
  - From business running perspective, *(see table 1)*
    - Low-cost items can keep higher margins without pushing prices up
    - but applying the same % margin to higher-cost items makes prices too high, so sellers often cut margin instead
    - Hence, as ABS rises, actual margins tend to fall
  - Research validate the above thinking *(see table 2)*
- Therefore, for benchmarking, suggest closer ABS as a better reference, and safer option for us when increase the commission

Question Backup #2: KRCB All category Takerate(post increase) vs Target (Local MP Cost) conclusion very similar as beauty category, given beauty accounts for 70% of KR 3P SLS GMV

Seller Type	Market	Beauty Category								All Category (Target weighted by KR Category mix)							
		Current	Target 1 vs Local CODB	Target 2: vs Local MP Cost	Target 3: vs CN MP Cost	Final Proposal A		Final Proposal B		Current	Target 1 vs Local CODB	Target 2: vs Local MP Cost	Target 3: vs CN MP Cost	Final Proposal A		Final Proposal B	
						MP TR, %	Gap vs target	MP Ttl TR%	Gap vs target					MP TR, %	Gap vs target	MP Ttl TR%	Gap vs target
Total	Total																
	SG	22.8%	22.8%	24.5%	25.0%	25.4%	0.8%	24.3%	-0.2%	22.6%	22.6%	24.0%	24.4%	25.2%	1.2%	24.1%	0.1%
	MY	26.2%	26.2%	27.1%	26.8%	27.0%	-0.1%	27.9%	0.8%	24.5%	24.5%	24.6%	25.1%	25.3%	0.7%	26.2%	1.6%
	TH	20.6%	20.6%	23.3%	27.5%	23.5%	0.2%	24.1%	0.9%	19.9%	19.9%	21.8%	25.0%	22.8%	1.1%	23.5%	1.7%
	TW	13.8%	13.8%	16.8%	16.3%	15.2%	-1.6%	13.8%	-3.0%	12.8%	12.8%	15.8%	15.3%	14.2%	-1.6%	12.8%	-3.0%
	VN	20.5%	20.5%	25.9%	27.9%	22.2%	-3.7%	22.3%	-3.5%	19.9%	19.9%	25.2%	27.3%	21.6%	-3.5%	21.8%	-3.4%
	PH	20.8%	20.8%	23.3%	24.5%	22.5%	-0.7%	23.7%	0.4%	18.4%	18.4%	21.0%	21.7%	20.1%	-0.9%	21.2%	0.3%
Mall	Total																
	SG	28.2%	28.2%	28.2%	28.2%	30.3%	2.1%	28.2%	-	27.7%	27.7%	27.7%	27.7%	29.8%	2.1%	27.7%	-
	MY	31.3%	31.3%	31.3%	31.3%	31.6%	0.3%	31.3%	-	28.7%	28.7%	28.7%	28.7%	29.0%	0.3%	28.7%	-
	TH	25.3%	25.3%	25.3%	32.9%	28.1%	2.7%	27.3%	2.0%	24.2%	24.2%	24.2%	28.9%	26.9%	2.7%	26.1%	2.0%
	TW	23.9%	23.9%	23.9%	23.9%	25.4%	1.5%	23.9%	-	21.1%	21.1%	21.1%	21.1%	22.6%	1.5%	21.1%	-
	VN	22.2%	22.2%	26.8%	28.7%	23.8%	-3.0%	23.5%	-3.3%	21.5%	21.5%	26.0%	28.2%	23.1%	-2.9%	22.9%	-3.2%
	PH	23.9%	23.9%	23.9%	26.7%	25.1%	1.1%	24.9%	0.9%	19.9%	19.9%	19.9%	22.0%	21.0%	1.1%	20.8%	0.9%
Non mall	Total																
	SG	14.9%	14.9%	19.4%	20.5%	18.2%	-1.2%	18.8%	-0.6%	15.1%	15.1%	18.8%	19.7%	18.4%	-0.4%	19.1%	0.3%
	MY	20.9%	20.9%	22.8%	22.1%	22.2%	-0.5%	24.4%	1.6%	20.0%	20.0%	20.4%	21.3%	21.4%	1.0%	23.5%	3.1%
	TH	16.0%	16.0%	21.3%	22.0%	19.0%	-2.3%	21.0%	-0.3%	15.7%	15.7%	19.4%	21.1%	18.8%	-0.7%	20.8%	1.4%
	TW	9.4%	9.4%	13.7%	13.0%	10.8%	-2.9%	9.4%	-4.3%	9.2%	9.2%	13.5%	12.7%	10.6%	-2.9%	9.2%	-4.3%
	VN	14.1%	14.1%	22.5%	24.7%	16.2%	-6.2%	17.9%	-4.6%	13.9%	13.9%	21.9%	24.1%	16.1%	-5.9%	17.7%	-4.2%
	PH	18.6%	18.6%	22.8%	22.9%	20.7%	-2.0%	22.8%	0.0%	17.3%	17.3%	21.7%	21.5%	19.5%	-2.2%	21.5%	-0.2%

Shopee

THE END